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Quarterly Report for Deer Velvet in Korea
Deer Industry New Zealand

June 2010

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1 Imports

1.1 VELVET IMPORTS

An analysis of the import statistics for deer velvet from March to May 2010 shows the following:

1.1.1 Young Antlers, Total – Quarterly Comparison

(Includes HS No. 0507.90.1110 Whole, plus HS No. 0507.90.1190 Other)

COUNTRY OF ORIGIN	MAR 09 – MAY 09		MAR 10 – MAY 10		INCREASE	M/S
	VALUE (USD)	VOLUME (KG)	VALUE (USD)	VOLUME (KG)	VALUE (%)	VALUE (%)
New Zealand	2,263,419	46,177	2,708,000	41,000	19.64	58.61
Russia	2,339,566	14,628	1,296,000	1,0000	-44.61	28.05
PR China	986,000	10,275	536,361	8,000	-45.60	11.61
Australia	19,322	303	80,000	2,000	314.04	1.73
USA	39	0	0	0	-100	0.00
Angola	0	0	0	0	0	0.00
Total	5,608,346	71,383	4,620,400	61,000	-17.66%	100.00%
NZ Share	40.26%	64.69%	58.61%	67.21%	18.35%	-

Source: Korea Customs Service

New Zealand's market share has been increased from 51.97 to 58.61 this quarter due to the stabilised export price, local importers said.

However, velvet consumption is already showing a decline comparing to April as the season is entering summer.

1.1.2 Young Antlers, Total – Yearly Comparison

(Includes HS No. 0507.90.1110 Whole, plus HS No. 0507.90.1190 Other)

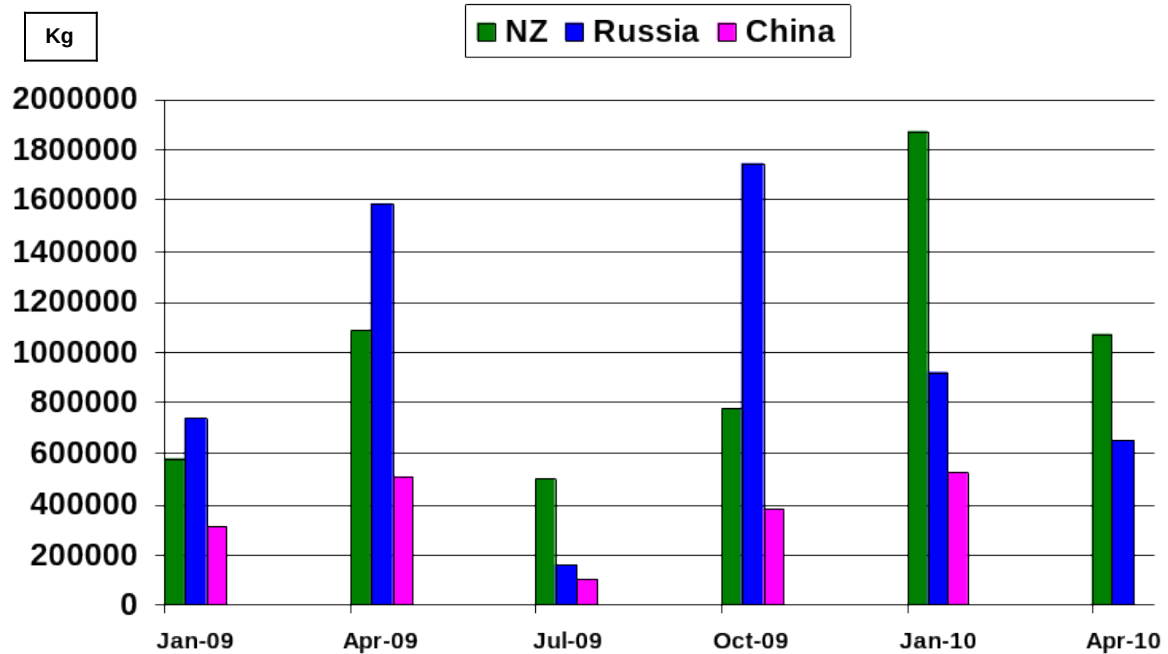
COUNTRY OF ORIGIN	APR 08 – MAY 09		APR 09 – MAY 10		INCREASE	M/S
	VALUE (USD)	VOLUME (KG)	VALUE (USD)	VOLUME (KG)	VALUE (%)	VALUE (%)
New Zealand	12,671,570	203,588	11,840,673	200,439	-6.56	47.09
Russia	6,579,302	36,009	8,946,679	64,772	35.98	35.58
China	3,745,760	31,152	4,047,211	42,195	8.05	16.09
Australia	286,856	8,118	181,687	46,26	-36.66	0.72
USA.	476	0	39	0	-91.81	0.00
Kazakhstan	0	0	130,000	1,000	-	0.52
Angola	24	0	0	0	-100.00	0.00
Total	23,283,988	278,867	25,146,289	308,478	8.00%	100.00%
NZ Share	54.42%	73.01%	47.09%	64.98%	-7.33%	-

Source: Korea Customs Service

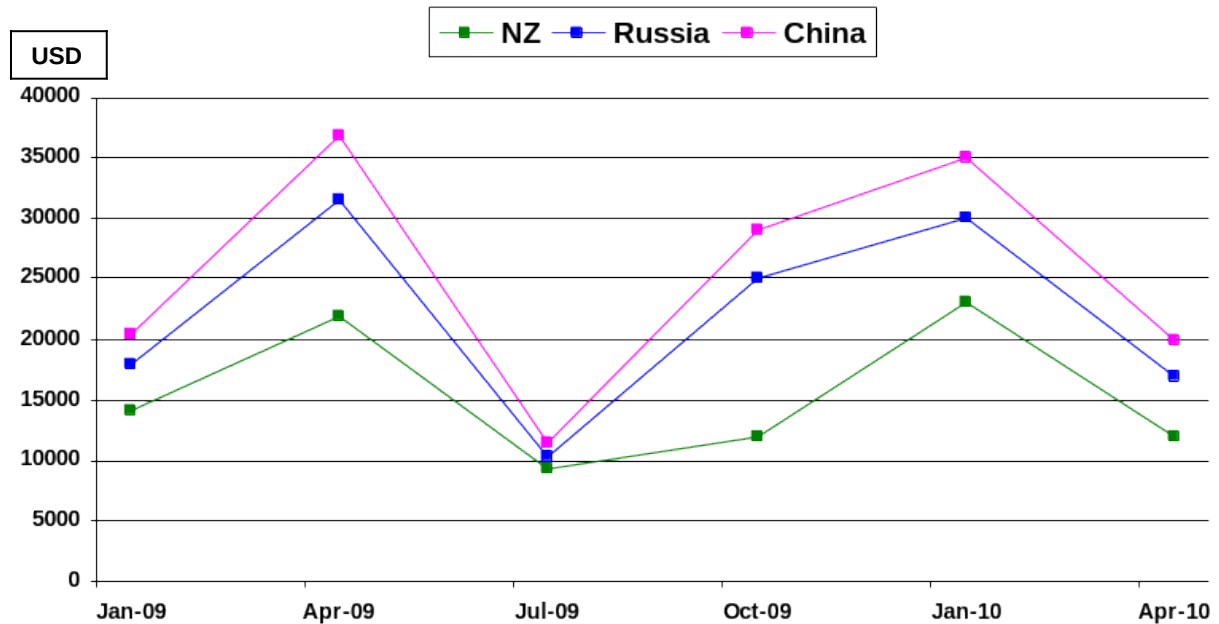
The table shows a slight decline in all value, volume and market share of New Zealand comparing to the previous year.

An importer said major importing companies are interested in Russian product that is comparatively cheaper than NZ product.

Quarterly Import Value Jan 09 - Apr 10



Quarterly Import Volume Jan 09 - Apr 10



1.2 Hard Antler Imports (HS No. 0507.90.1200)

COUNTRY OF ORIGIN	JAN 09 – MAY 09		JAN 10 – MAY 10		INCREASE	M/S
	VALUE (USD)	VOLUME (KG)	VALUE (USD)	VOLUME (KG)	VALUE (%)	VALUE (%)
New Zealand	0	0	34,000	3,000	-	4.56
Russia	604,432	56,900	596,000	55,000	-1.40	79.15
China	67,095	6,132	0	0	-100	0.00
Argentina	109,000	9,961	60,000	5,000	-44.95	7.97
Australia	40	1	63,000	6,000	157400	8.37
Total	780,567	72,994	753,000	69,000	-3.53%	100.00%
NZ Share	0%	0%	4.56%	4.35%	4.56%	-

Source: Korea Customs Service

The total import value of hard antler between January and May 2010 declined but New Zealand's market share is increased in year-on-year terms.

1.3 VENISON IMPORTS (HS NO. 0208.90.1000)

COUNTRY OF ORIGIN	JAN 09 – MAY 09		JAN 10 – MAY 10		INCREASE	M/S
	VALUE (USD)	VOLUME (KG)	VALUE (USD)	VOLUME (KG)	VALUE (%)	VALUE (%)
New Zealand	2,421	74	0	0	0.00	100.00
Total	2,421	74	0	0	0.00%	100.00%
NZ Share	100.00%	100.00%	0%	0%	0.00%	-

Source: Korea Customs Service

Korea has no import of venison between January and May 2010.

1.4 DEER IMPORTS (HS NO. 0106.00.1050)

Korea did not import any live deer from January to May 2010.

1.5 QUARANTINE STATISTICS OF DEER VELVET FROM MAJOR EXPORTERS

These include hand-carried velvet by tourists. The countries are not country of origin but export.

COUNTRY OF EXPORT	JAN 09 – MAY 09		JAN 10 – MAY 10	
	DRIED VELVET (KG)	RAW VELVET (KG)	DRIED VELVET (KG)	RAW VELVET (KG)
New Zealand	17,859.90	54,195.20	11,587.20	48,977.60
Russia	11,400.90	0.00	6,627.70	0.00
China	13,011.50	24.00	24,591.10	7.70
Hong Kong	8,275.20	0.00	13,591.90	0.00
Australia	67.50	6,106.00	41.90	2,005.50
USA.	28.10	0.00	30.60	2.90
Others	12.20	0.40	1,176.90	3.30
Total	50,655.30	60,325.60	57,647.30	50,997.00

Source: National Veterinary Research & Quarantine Service

2 Local Deer Industry

2.1 NO DEER FOUND INFECTED WITH FOOT-AND-MOUTH DISEASE BETWEEN 8 APRIL AND 18 JUNE 2010

The Ministry of Food, Agriculture, Forestry and Fisheries (MFAFF) said the worst FMD in Korean history seems to be over with no animals reported infected between 8 April and 18 June. The outbreak had spread to wide inland area covering Gyeonggi, Incheon and Chungcheong provinces and 49,000 heads of animals were culled. MFAFF totalled the damage of KRW 71 billion (NZD 8,352,941).

However, although no deer have been reported as infected MFAFF said all farmers still need to keep watching the animals since neighbouring China and Japan have sporadic FMD reappearances.

Source: SBS, 18 June 2010

2.2 CRACKDOWN ON SMUGGLING OF VEVELT

Korea Customs Service has formed special task force team to crack down on smuggling deer velvet and gold. Its 688 team members will conduct special inspection until the end of June.

Smuggled velvet

(Unit: Case, KRW 1 mil)

Country	2006		2007		2008		2009	
	Cases	Value	Cases	Value	Cases	Value	Cases	Value
NZ	-	-	1	62 (NZD 72,941)	-	-	1	133 (NZD 156,471)
HK	2	224 (NZD 263,529)	31	7,866 (NZD 9,254,118)	1	2 (NZD 2,353)	-	-
China	28	212 (NZD 249,412)	-	-	24	1,731 (NZD 2,036,471)	11	2,352 (NZD 2,767,059)
Russia	-	-	1	17 (NZD 20,000)	-	-	-	-
Australia	1	6 (NZD 7,059)	-	-	-	-	-	-

Others	1	1 (NZD 1,176)	4	43 (NZD 50,566)	1	0.2 (NZD 235)	-	-
Total	32	443 (NZD 521,176)	37	7,988 (NZD 9,397,647)	26	1,733 (NZD 2,038,824)	12	2,485 (NZD 2,923,529)

Source: Monthly Yangrok (Deer Farming), May 2010

2.3 KFDA PLANS TO EXPAND LABORATORY TEST ON IMPORTED ORIENTAL MEDICINE INGREDIENTS

Korea Food and Drug Administration (KFDA) announced that it will expand conducting laboratory test on imported oriental medicine ingredients from the current 275 items to 518 items until the year-end.

It has been conducting organoleptic inspection for all imported oriental medicine ingredients and laboratory test for frequently imported ingredients.

Source: Nongmin Newspaper, 19 February 2010

2.4 MARKET PRICE OF LIVE DEER AS OF 15 APRIL 2010

			Elk	Sika	Red
2 Yr Old (2009 Born)	Female		89.5 (NZD 1,053)	31.0 (NZD 365)	44.5 (NZD 524)
	Male		220 (NZD 2,588)	47.0 (NZD 553)	66.5 (NZD 782)
3 Yr Old (2008 Born)	Female		120.5 (NZD 147)	40.2 (NZD 473)	56.1 (NZD 660)
	Male		285.4 (NZD 3,358)	66.6 (NZD 784)	103.4 (NZD 1,216)
4 Yr Old (2007 Born)	Female		142.5 (NZD 1,676)	44.8 (NZD 527)	64.5 (NZD 759)
	Male		365.0 (NZD 4,294)	80.5 (NZD 947)	126.5 (NZD 1,488)
5 Yr and Older	Female		154.0 (NZD 1,812)	48.5 (NZD 571)	71.0 (NZD 835)
	Male				
	(Velvet production volume)		(Less 10 kg) 362.0 (NZD 4,259)	(Less 1 kg) 78.7 (NZD 926)	(Less 4 kg) 127.0 (NZD 1,494)
			(Less 10 – 15 kg) 394 – 535 (NZD 4,635 – 6,294)	(Less 1 – 1.5 kg) 82 -102 (NZD 965 – 1,200)	(Less 4 – 6 kg) 130 – 160 (NZD 1,529 – 1,882)
		Avg	464.3	92.0	145.0

			(NZD 5,462)	(NZD 1,082)	(NZD 1,706)
			(Less 15 – 20 kg)	(Less 1.5 – 2 kg)	(Less 6 – 8 kg)
			624 – 846	103 – 117	161 – 195
			(NZD 7,341 – 9,953)	(NZD 1,212 – 1,376)	(NZD 1,894 – 2,294)
		Avg	735.0	110.0	178.0
			(NZD 8,647)	(NZD 1,294)	(NZD 2,094)
			(Over 20 kg)	(Over 2.0 kg)	(Over 8 kg)
			1,294	146	247.3
			(NZD 15,224)	(NZD 1,718)	(NZD 2,909)

Unit: KRW 10,000 (1 NZD = KRW 850)

Data Source: Korea Rabbit and Deer Farmers Cooperative

Source: Monthly Yangrok (Deer Farming), May 2010

2.5 MIFAFF ANNOUNCED THE COMPULSORY REGISTRATION PLAN TO DEER FARMS

MIFAFF announced that it considers expanding compulsory registration system especially to deer and goat farms for disease control, as early as next year. MIFAFF will issue a license to those who complete the required training course.

Since the FMD outbreak of December 2003, many cattle and swine farms have been registered with the government. However, some industry people and farmers are concerned about how to control small sized farms, which have only a few heads of animals. They requested MIFAFF to set up detailed system plan.

Source: Monthly Yangrok (Deer Farming), April 2010

2.6 COMPULSORY LABELLING OF COUNTRY OF ORIGIN ON ORIENTAL MEDICINES FROM 2011

Korean government announced that it will request pharmacies, oriental medicine clinics and pharmaceutical companies to label the country of origin on the finished products for their oriental medicine ingredients.

The new system will include 590 pharmaceutical companies, 11,563 of oriental medicine clinics and hospitals, and 27,590 pharmacies.

Government added it will adopt traceability system to locally produced ingredients and distributing traceability system to imported ones.

Source: Hankyung, 26 March 2010

2.7 KOREA'S VELVET SUPPLY AND DEMAND

		2001	2002	2003	2004	2005	2006	2007	2008
Production	Volume (Kg)	183,141	214,933	192,417	204,198	199,825	179,262	161,383	-
	Value (KRW 1 mil)	81,119 (NZD 95.4 mil)	94,068 (NZD 111 mil)	90,011 (NZD 106 mil)	95,797 (NZD 113 mil)	99,062 (NZD 117 mil)	88,508 (NZD 104 mil)	83,926 (NZD 98.7 mil)	-
Import	Volume (Kg)	529,322	757,444	515,025	620,411	592,050	670,842	599,140	469,893
	Value (USD 1,000)	16,066	24,992	21,956	25,789	24,116	26,571	35,013	23,579
Export	Volume (Kg)	11,490	13,420	1,093	19,176	4,359	4,568	2,347	5,574
	Value (USD 1,000)	1,060	1,961	148	505	313	470	390	436

(1 NZD = KRW 850)

Source: Monthly Yangrok (Deer Farming), March 2010

3 Wholesale & Retail Price of Imported Deer Velvet (as of May 2010)

According to importers, recent wholesale price of velvet has drifted lower than last quarter because wholesalers like to sell off the current stock as the summer season approaches. Korean importers have a pressure to lower the price for wholesale market demand.

Excess inventory in Korea also influences to Russia and China who are currently harvesting but having difficulties meeting the export price to Korea.

(Unit: Korean Won / keun = 600g)

ORIGIN	IMPORT COST	WHOLESALE PRICE	RETAIL PRICE
New Zealand	KRW 220,000 – 235,000 (NZD 259 – 274)	KRW 240,000 – 250,000 (NZD 282 – 294)	Bungol (tip): KRW 420,000 – 450,000 (NZD 494 – 529) Sangdae (upper part): KRW 260,000 – 300,000 (NZD 306 – 353) Jungdae (middle part): KRW 150,000 – 180,000 (NZD 176 – 212)
China	KRW 200,000 – 210,000 (NZD 235 – 247)	KRW 230,000 – 240,000 (NZD 271 – 282)	Bungol: KRW 420,000 – 450,000 (NZD 494 – 529) Sangdae: KRW 250,000 – 280,000 (NZD 294 – 329) Jungdae: KRW 140,000 – 150,000 (NZD 165 – 176)
Russia	KRW 320,000 – 350,000 (NZD 376 – 412)	KRW 265,000 – 290,000 (NZD 312 – 341)	Bungol: KRW 750,000 – 800,000 (NZD 882 – 941) Sangdae: KRW 450,000 – 480,000 (NZD 529 – 565) Jungdae: KRW 220,000 – 250,000 (NZD 259 – 294)

Notes:

1. NZD 1 = Apprx KRW 850
2. Source: Deer velvet importers

3. The “wholesale price” is the price for whole sticks paid by wholesalers/slicing companies to importers and the “retail price” is the price of sliced velvet paid by oriental medicine clinics to wholesalers. The minimum sales quantity is 1 keun (16 nyang x 37.5 grams = 600 grams).

3.1 RETAIL PRICES OF NEW ZEALAND VELVET TO INDIVIDUAL CONSUMERS

Packaging: 2 nyang (75g) retail pack

Bungol (tip): KRW 81,000 – 130,000 (NZD 95 – 153)

Sangdae (upper part): KRW 68,000 – 80,000 (NZD 80 – 94)

Jungdae (middle part): KRW 41,000 – 60,000 (NZD 48 – 71)

Source: A retail shop in Kyung Dong Oriental Herb Market.

4 Velvet Market Movements & Major Developments

4.1 DAESANG WELIFE INTRODUCED NEW FUNCTIONAL FOOD “EVER POWER BON”

The new product has been made for mid-aged male consumers for improving blood circulation, bone care and physical strength. It contains all 31 ingredients such as deer velvet, octacosanol, red ginseng and so on.

Source: Yakup News, 25 May 2010

4.2 COREANA COSMETICS RELEASED 2010 NEW BRAND “ZAIN”

Coreana Cosmetics released new brand “Zain”, which has all 9 skin care items. Especially, “Zain Sang-gie Jin Ample” adopted velvet extract and other oriental medicinal ingredients by nano-tehcnohlogy. It improves vitality and elasticity on skin. Retail price of one box (2 ml x 28 ea) is KRW 200,000 (NZD 235).

Source: Segye Ilbo, 20 April 2010

4.3 PULMUONE HEALTH & LIVING PROMOTED “AIBOGAM” FOR CHILDREN'S DAY

Pulmuone Health & Living attracted parents with “Aibogam” as a gift for their kids on Children's day in May. It is composed by velvet, ginseng, acanthopanax of major ingredients and flavoured with organic grape juice. It is KRW 300,000 (NZD 353) per box consisted of 60 packs (80 ml).

Source: Korea Food Medical News, 14 April 2010

4.4 MISSHA EXPANDS ITS TAIWAN MARKET WITH “MISSHA CHOBOYANG BB CREAM”

The blemish balm cream “Missha Choboyang” is accelerating Missha's market expansion in Taiwan since its first launch in 2005. Velvet, ginseng, pure gold and oriental plant extracts in the cream cares wrinkle, whitening and sun-screen. The company has a plan to enter other Asian markets with products made of oriental medicinal ingredients. It already has 464 stores in 21 countries.

Source: Financial and Economic News, 29 March 2010

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